

Benchmarking Analysis

August 20, 2025



City of Los Angeles
Harbor Department
Port of Long Beach Benchmarking

Benchmarking

Purpose:

- The Purpose of this analysis is to compare the performance of the Port of Los Angeles (POLA) relative to the Port of Long Beach (POLB).

Updating:

- Three income-statement models, Ratio Analysis, Senior Bond Official Statements, Minimum Annual Guarantees, and Debt Service Summaries.

Creating:

- Cash Flow Forecasts, CIP Projections

Key Goals:

- Compare key financial operational aspects of the Port of Los Angeles to the Port of Long Beach.
- Assess each port's ability to honor their obligations to ACTA.

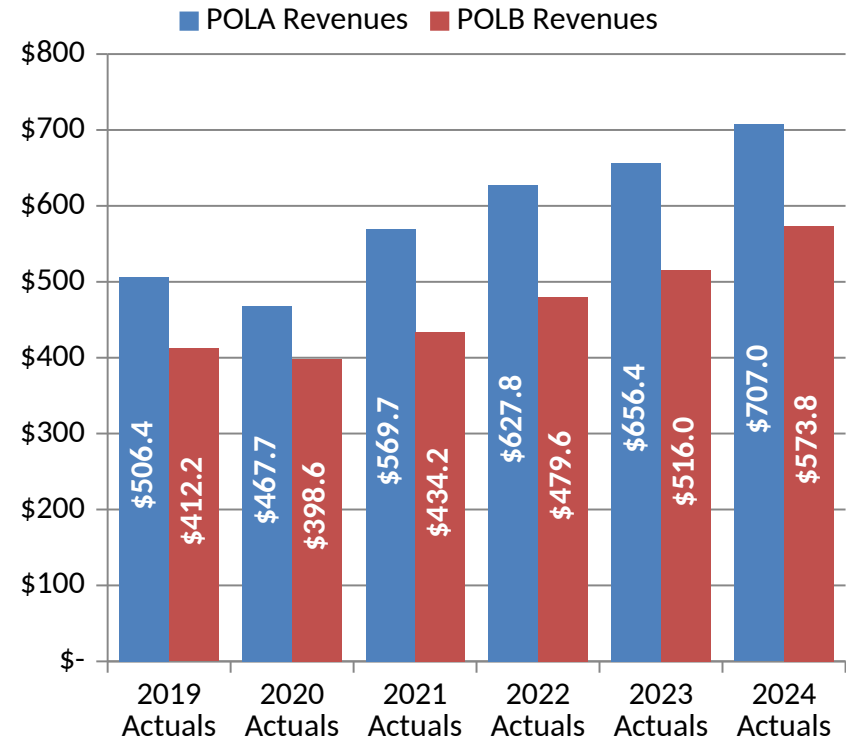
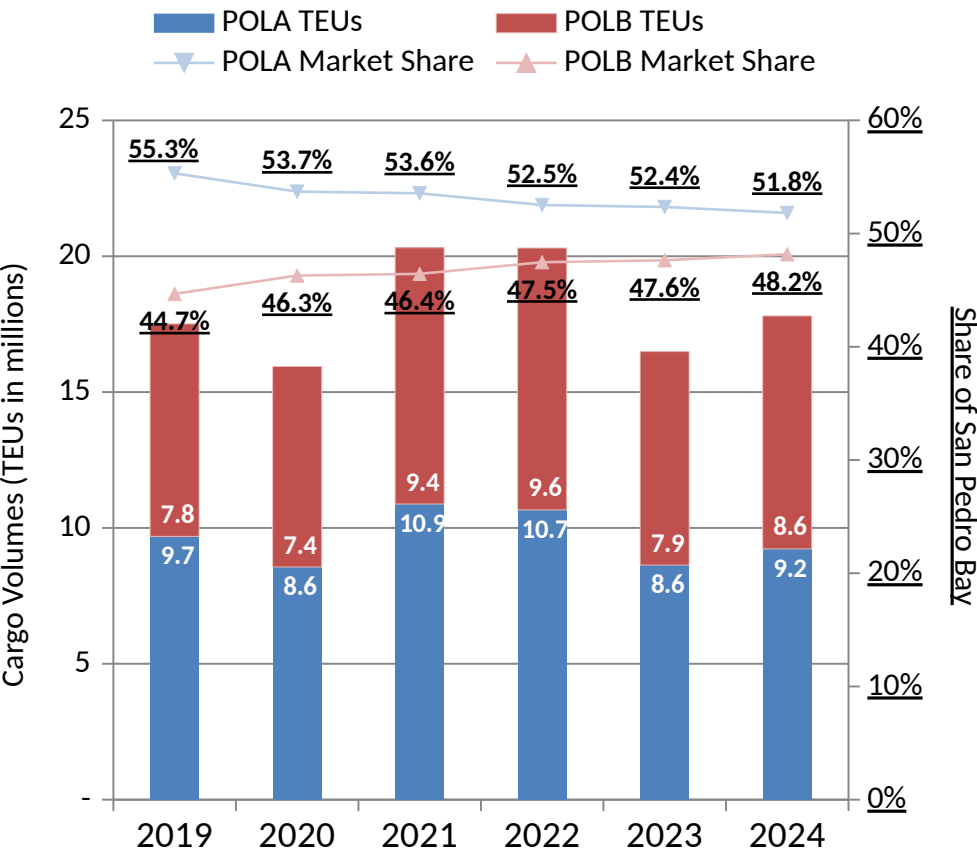
Comparing Port Regions and Operations

	Port of Los Angeles	Port of Long Beach
Premises	7,500 acres (4,300 land / 3,200 water)	8,120 acres (3,520 land / 4,600 water)
Key Container Terminal Tenants (<i>Alliance Affiliation</i>)	APM – Maersk Line (<i>Gemini</i>) Fenix – CMA CGM (<i>OCEAN</i>) Everport – Evergreen (<i>OCEAN</i>) Yusen – ONE (<i>Premier</i>) Trapac – ONE (<i>Premier</i>) TiL – MSC (<i>Independent</i>) WBCT – COSCO/OOCL (<i>OCEAN</i>)	Pier A – SSA/Matson (<i>Independent</i>) Pier C – SSAT/Matson (<i>Independent</i>) LBCT – OOCL (<i>OCEAN</i>) Pier G (ITS) – ONE (<i>Premier</i>) Pier J – SSAT/CMA CGM/COSCO (<i>OCEAN</i>) Pier T (TTI) – MSC (<i>Independent</i>)
Fiscal Year End	June 30	September 30



TEUs, Market Share, Revenues Summary

- Since July 2019, POLA has consistently handled more TEUs annually than POLB.
- From FY 2019 – FY 2024, POLA and POLB have experienced similar growth in Operating Revenues as POLA has grown revenues by 6.9% on average, while POLB has grown 6.8% on average.



Ratio Analysis

- The following table provides an overview of key financial metrics for both ports and the percentage difference for each of POLA's metrics relative to POLB.

FY 2024 Data	Port of Los Angeles	Port of Long Beach	POLA vs. POLB
Operating Revenues	\$707,040,000	\$573,756,000	23.2% 
Operating Expenses	\$293,075,000	\$218,866,000	33.9% 
Operating Income (excl. dep.)	\$413,965,000	\$354,890,000	16.7% 
Operating Margin	58.55%	61.86%	(5.4%) 
Outstanding Debt - Senior	\$493,770,000	\$514,130,000	(4.0%) 
Debt Service Coverage	6.8x	5.2x	1.25x 
Days Cash on Hand	1,836 days	1,611 days	14.0% 
Minimum Rental Income	\$424,014,000	\$432,100,000	(1.9%) 
MRI as a % of Op. Rev.	60%	75%	(15%) 
S&P Rating	AA+	AA+	

Key Operational Differences and Similarities

Operations	Port of Los Angeles	Port of Long Beach
Pilotage Structure	Operates pilotage in-house	Uses an independent Operator (Jacobsen)
Police Services	Funds their own police department	Contracted services
Cruise Operations	Includes cruise terminal and passenger revenue	Exclusively cargo focused
Environmental Programs	Clean Truck Program, San Pedro Bay Ports Clean Air Action Plan	Same
Channel Maintenance	Federal Channel Dredging Program	Same
Gate & Terminal Operation	PIERPASS Truck Appointment System	Same
Maritime Safety & Traffic Management	USCG Vessel Traffic Service Coverage	Same
HMT Participation	Yes	Same
Access to ACTA	Yes	Same

- Pilotage Structure Difference: Port of LA operates its own pilotage service and bills fees directly. Port of LB uses an independent Pilotage Commission, revenues flow through that body, not the Port's O&M budget
- Police Service Differences: Port of LA funds and staffs a dedicated Harbor Patrol unit (agent count, budget line). Port of LB contracts out patrol and security services via the City of Long Beach (service-fee model)
- Cruise Operation Differences: Port of LA captures cruise-terminal fees, passenger facility charges, and related concessions revenue. Port of LB has no cruise terminal, 100% cargo throughput, no passenger ancillary income
- Environmental Program Similarities: Both ports co-fund and administer the Clean Truck Program (ZE-truck incentives, gate electrification grants). Both ports underwrite and execute the CAAP (shore power hookups, zero-emission equipment grants, harbor vessel clean-fuel standards).
- Channel Maintenance: Federal Channel Dredging Program They each pay into, and benefit from the Army Corps' maintenance dredging of the shared San Pedro Bay ship channel.
- Gate & Terminal Operation: PIERPASS Truck Appointment System A single gate-booking platform jointly funded and governed to smooth dray-age flows in and out of both terminals.
- Maritime Safety & Traffic Management: USCG Vessel Traffic Service (VTS) Coverage Both ports rely on and help fund the Coast Guard's unified traffic monitoring and pilot-boat coordination for San Pedro Bay.
- Revenue & Regulatory Compliance: Harbor Maintenance Tax (HMT) Collections Each port collects identical tonnage surcharges and channels them into the federal HMT fund that underwrites national channel upkeep.
- Transportation: Each participating port and rail operator channels standardized corridor access fees into a joint-maintenance fund that underwrites the 20-mile freight rail expressway's infrastructure upkeep and operational reliability.

ACTA Joint Facilities Overview

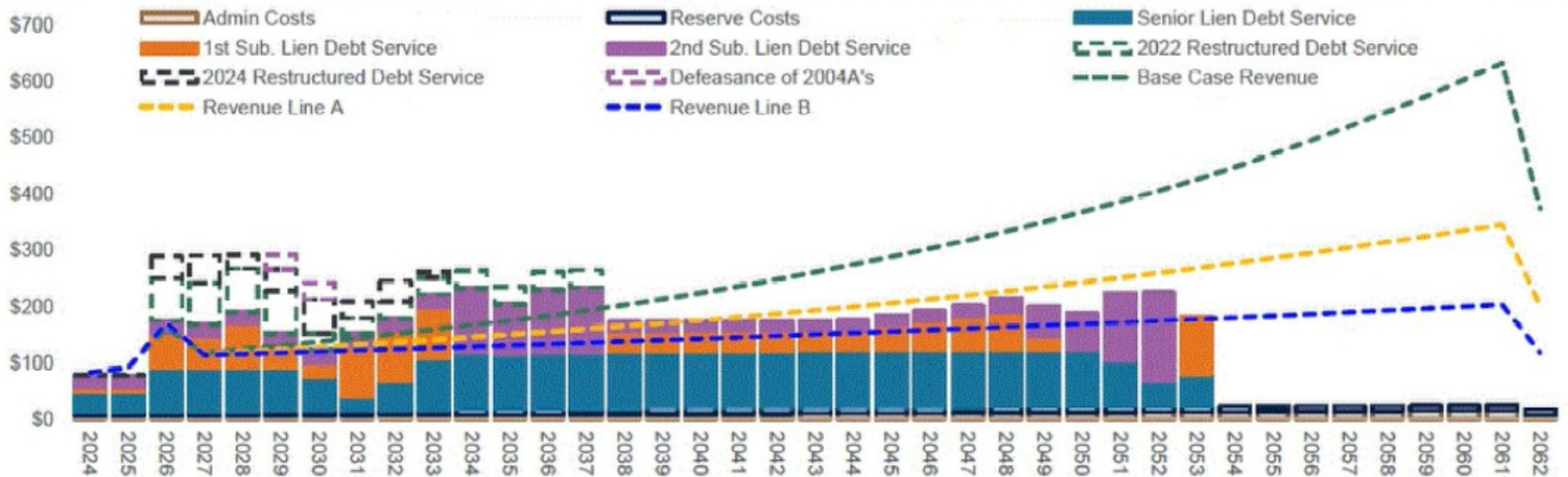
- The Alameda Corridor Transportation Authority (ACTA) underpins the region's intermodal rail network. This \$2.4 billion, 20-mile (32 km) below-grade freight expressway provides the vital link carrying cargo from the ports of Los Angeles and Long Beach to the transcontinental rail hub near downtown Los Angeles.
- ACTA collects Container Charges and Use Fees on waterborne containers moved by rail. These fees fund debt service and capital improvements.
- The Port of Los Angeles and the Port of Long Beach are equally obligated to fund 40% (20% each) of ACTA's annual debt service in the event that ACTA does not generate sufficient Use Fees and Container Charges to service its debt.



ACTA Revenue & Debt Service Forecast

- In the event that ACTA is unable to pay its debt service utilizing the Use and Operating Fees that it collects, the Ports of Los Angeles and Long Beach are obligated to make shortfall payments.
- The graph below shows that beginning in October 2026, ACTA's debt service will begin to outpace ACTA's anticipated revenues.

ACTA EXISTING DEBT SERVICE AND COSTS WITH REVENUE SCENARIOS



ACTA Shortfall & Debt Service Overview

ACTA Shortfall Payments (FY 2027- FY 2038)

- Total obligation: \$402.1 M (each port \$201.0 M)
- Shortfall window: July 2026 – June 2034, \$129.0 M per port

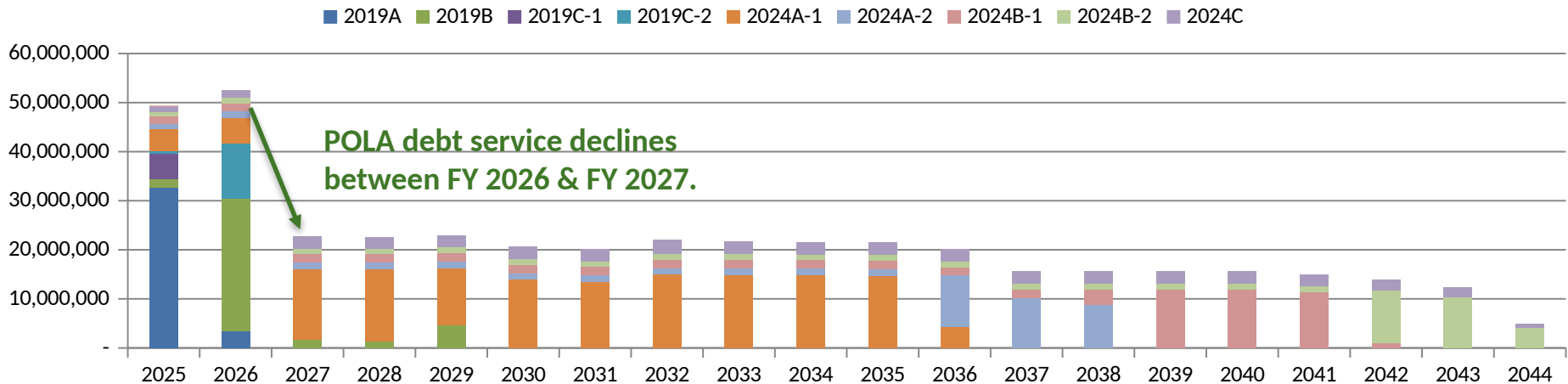
9-Year Debt Service (Oct 2025 – Sep 2034)

- Port of Los Angeles:
 - Total: \$251.9M (Jul 2025 – Jun 2034), Annual base debt service: \$21.5M – \$50M, Annual debt service including ACTA: \$21.5–78.7
- Port of Long Beach:
 - Total: \$567.1 M, Annual base debt service: \$50–70 M, Annual debt service including ACTA: \$64–94 M

Why its Important:

- ACTA Shortfalls are unavoidable obligations that can divert millions from other critical port projections and operations.
- POLB larger and longer-term debt load makes ACTA shortfalls a greater strain compared to POLA.

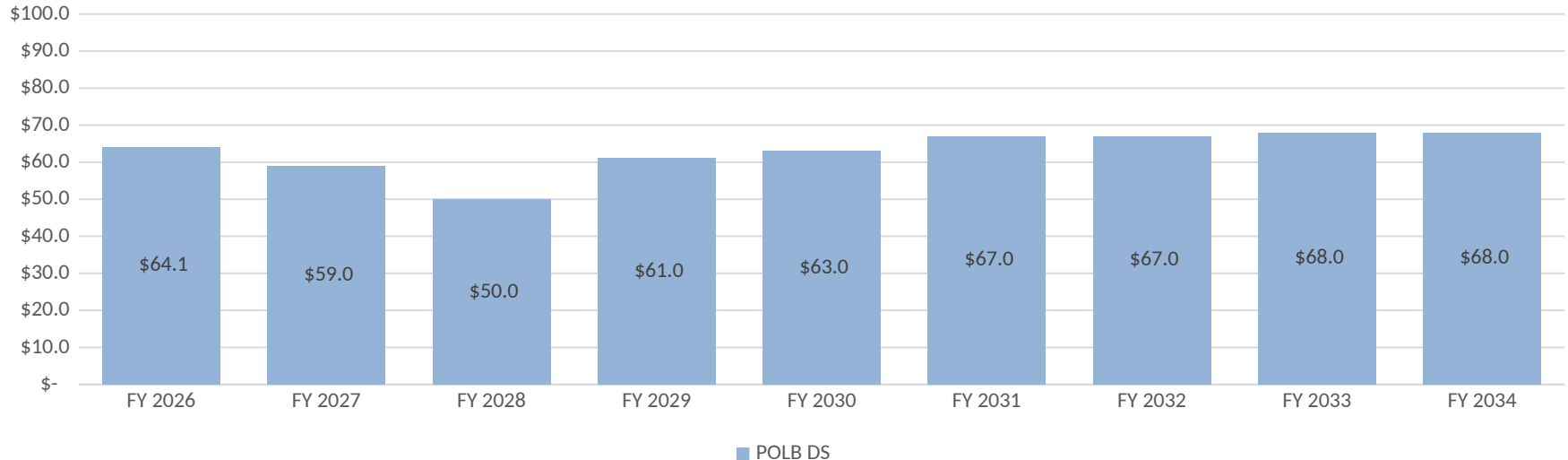
POLA Debt-Service Summary



- **POLA Debt Outlook (2025–2044):** Peak debt service obligations hit in FY 2026, driven by 2019 A and B bond issuances. Post-2026 POLA's debt service declines significantly.
- It is important to note that POLA's debt service presented above does not include ACTA shortfall payment obligations.

POLB Debt Service Summary

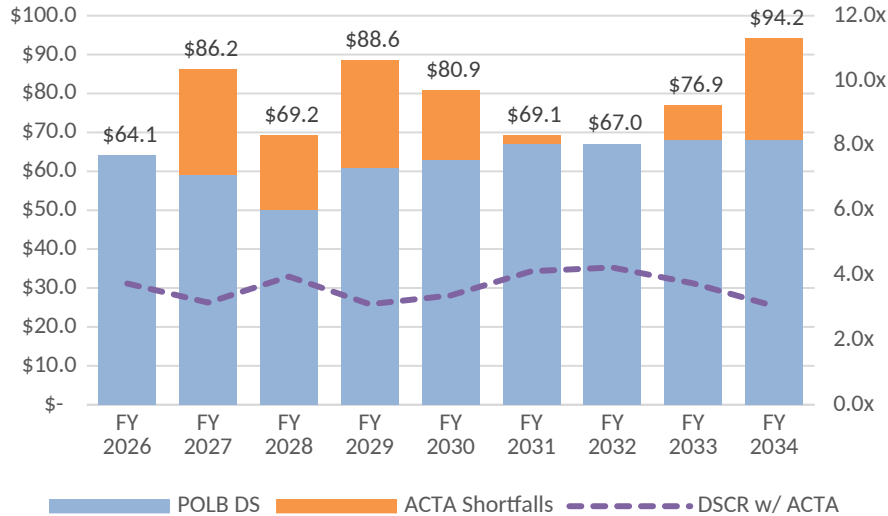
POLB Debt Service, before ACTA Shortfalls



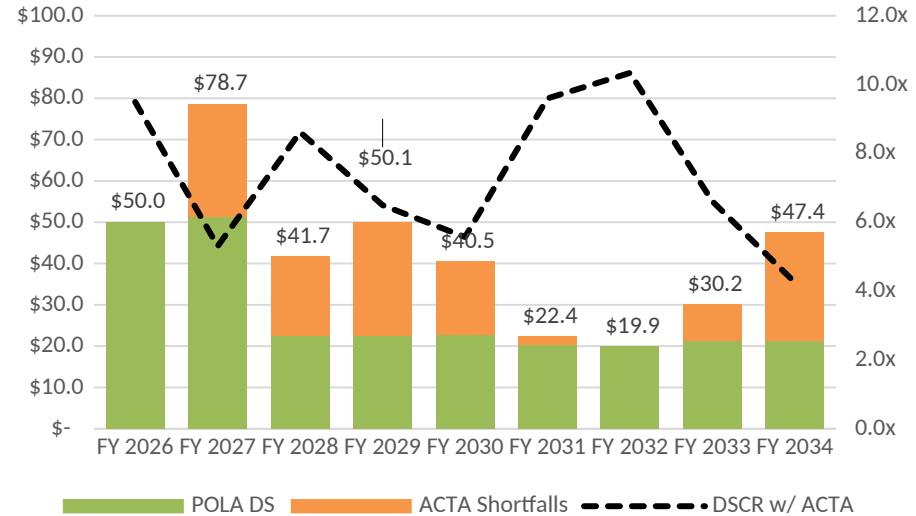
- POLB's debt service runs through 2054, extending roughly a decade beyond POLA's schedule.
- The table above summarizes POLB's debt service obligations through September 2034.
- Relative to POLA's decline in debt service, POLB's debt service is increasing over time. As a result, ACTA shortfall requirements would be more difficult for POLB to bear.

POLA & POLB Debt-Service Profile

POLB Debt Service, with ACTA Shortfalls



POLA Debt Service, with ACTA Shortfalls



- The Port of Los Angeles is much better positioned to make ACTA shortfall payments relative to the Port of Long Beach.
 - Inclusive of ACTA shortfalls, POLB's debt service is anticipated to total \$696 million from October 1, 2025 - September 30, 2034.
 - Meanwhile, inclusive of ACTA shortfalls, POLA's debt service is anticipated to total \$381 million (45% less than POLB) from July 1, 2025 - June 30, 2034.
- Debt Service Coverage Ratio (DSCR) measures the degree to which a debtor can service its debt. Both POLA and POLB strive to maintain a 2.0x DSCR.
 - Inclusive of ACTA shortfalls, POLB's DSCR is expected to range between 3.0x and 4.2x (purple dotted line).
 - Meanwhile, inclusive of ACTA shortfalls, POLA's DSCR is expected to range between 4.2x and 10.3x (black dotted line).

CIP Spending and Planned Projects

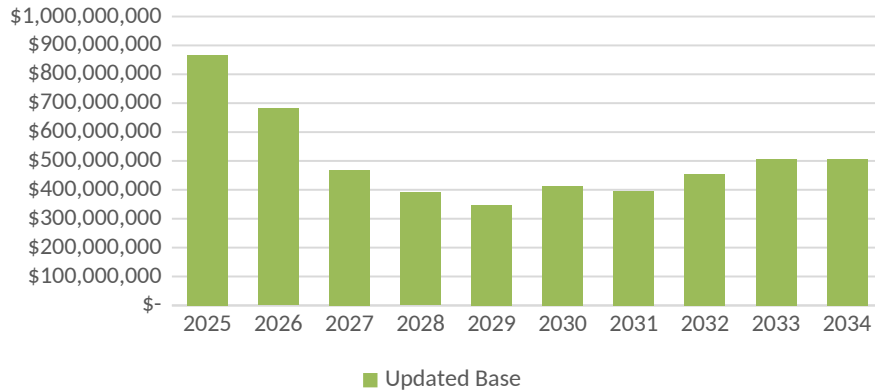
- POLB is concentrating on long-term network efficiency and resilience, channeling major investment into rail capacity and stormwater systems to support cargo.
- POLA, by contrast, is directing the bulk of its capital toward terminal modernization and public-access enhancements with a strong emphasis on zero-emissions infrastructure, positioning itself as a leader in sustainable port operations.

	Port of Los Angeles	Port of Long Beach
FY 24/25	\$192,480,879	367,560,000
FY 25/26	\$231,324,616	405,443,000
FY 26/27	\$403,979,255	519,000,000
FY 27/28	\$367,432,934	564,000,000
FY 28/29	\$213,641,758	279,000,000
Five-Year Total	1,408,889,442	2,135,003,000

POLA Key Projects	10-year CIP \$	10-year CIP %
Terminals	1,084	55.9%
Maritime Services	363.6	18.8%
Transportation	273.6	14.1%
Public Access/ Environment	206	10.5%
Security	12.6	.7%
Total	\$1,940	100.0%
POLB Key Projects	10-year CIP \$	10-year CIP %
Railways	\$1,281	40.0%
Storm Drain	\$709	22.4%
Waterfront Structure	\$476.4	14.8%
Zeero Portfolio	\$222	6.9%
Other	\$511.6	15.9%
Total	\$3,200	100.0%

Days Cash on Hand

POLB Ending Cash Balance



POLB Days Cash on Hand



- POLB's Revised Projections (Spring 2025):
 - \$92M reduction in Harbor Maintenance Tax (HMT) forecast, \$37M increase in operating expenses
 - Result: POLA estimates POLB's cash on hand will be ~\$129M lower by Sept 2026
- Liquidity & Ratings Risk:
 - POLB must maintain 600 Days Cash on Hand (DCOH) by ordinance and rating agency norms
 - Potential rating pressure in FY 2028 & FY 2030 when \$200M and \$150M debt issuances are planned
- Analysis:
 - POLB is entering a phase of high spending on capital expenditures and needs cash to fund these expenditures.
 - Over four years from FY 2025-FY 2028, POLB anticipates spending \$1.856 billion on capital expenditures, primarily for the following projects:
 - Pier B On-Dock Rail Support Facility Program: \$976.1 million (to be offset by ~\$289 million in grants)
 - Sewer, Street, Water and Stormwater Infrastructure Improvements: \$198.3 million
 - Deep Draft Navigation Channel Deepening: \$69.5 million.
 - Spending on the above three projects alone accounts for \$1.244 billion, or 67%, of the \$1.856 billion expected to be spent through September 30, 2028.

Conclusion

Key Takeaways:

- ACTA: Despite their close proximity and overall similarities, the Port of LA is much more capable of honoring its ACTA obligations relative to the Port of LB.
- Very grateful to have interned at the stronger financial port which gave me room to focus on learning instead of crisis management.

What I Learned:

- Excel Skills – Building Financial Models for all sorts of complex datasets.
- Debt & Treasury Operations – How bonds, debt service, and shortfall obligations are managed
- Financing the Port – The link between revenues and expenditures, and borrowing and lending
- Organizational Skills: The importance of staying on schedule, meeting deadlines, and maintaining consistent reporting.
- Cross-Divisional Communication – Why frequent updates between departments are key for big projects to move forward.
- Attention to Detail – Making sure data is accurate and aligned across all sources before presenting
- Discovered the importance of asking the right questions to uncover opportunities and risks

Thank You and Next Steps



- This opportunity has opened my eyes to the wide range of possibilities in Finance.
- I gained hands-on experience in high-stakes financial analysis and reinforced my interest in pursuing a career in finance.
- Grateful to have learned from such a great team at the best port.

